

India Inc. Q4 FY 2025-26 —

The Mid Cap Story Strengthens

As earnings season crosses the quarter-way mark, 1,264 of 4,976 listed companies have

reported. The picture has not just held — it has improved. Aggregate net profit growth has

accelerated to 20.20% YoY, and mid caps have extended their lead with an extraordinary

35.38% net profit growth.

Coverage: 1,264 of 4,976 listed companies · **Data:** Moneycontrol · **Author:** CA Parvesh

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AGGREGATE REVENUE +10.68%

AGGREGATE NET PROFIT +20.20%

MID CAP NET PROFIT +35.38%

COMPANIES REPORTED **1,264 / 4,976**

01 — *Headline*Numbers at a glance

METRIC	Q4 FY26	Q4 FY25	YOY GROWTH
Revenue	₹ 34,38,669 Cr	₹ 31,06,945 Cr	+10.68%
Gross Profit	₹ 6,58,195 Cr	₹ 5,94,708 Cr	+10.68%

Net Profit ₹ 4,31,520 Cr ₹ 3,58,997 Cr **+20.20%**

745 companies reported positive YoY growth versus **519** showing declines — a 59:41 split confirming broad-based recovery rather than a top-heavy story.

02 — Segments **Where the *growth* is coming from**

Nifty 50 — Steady but Margin-Compressed

METRIC	Q4 FY26	YOY GROWTH
Revenue	₹ 16,04,211 Cr	+8.97%
Gross Profit	₹ 3,00,593 Cr	+4.25%
Net Profit	₹ 2,19,946 Cr	+10.33%

Read: Nifty 50 is the slowest-growing segment. Net profit growth of 10.33% is respectable, but gross profit growth of only 4.25% reveals genuine margin pressure among India's largest blue-chips. Revenue is expanding; input costs are eating into operating margins faster.

Large Cap — Better Than Index, Still Compressed

METRIC	Q4 FY26	YOY GROWTH
Revenue	₹ 20,58,717 Cr	+9.33%
Gross Profit	₹ 4,40,984 Cr	+5.64%
Net Profit	₹ 3,02,437 Cr	+14.42%

Read: Large caps outperform Nifty 50 with 14.42% net profit growth, benefiting from scale and operational leverage. The yellow flag here: gross profit growth (+5.64%) lagging revenue growth (+9.33%) signals either input cost pressure or eroding pricing power.

Mid Cap ★ — The Star of the Quarter

METRIC	Q4 FY26	Q4 FY25	YOY GROWTH
Revenue	₹ 8,73,398 Cr	₹ 7,89,261 Cr	+10.66%
Gross Profit	₹ 1,57,398 Cr	₹ 1,30,459 Cr	+20.65%
Net Profit	₹ 90,045 Cr	₹ 66,513 Cr	+35.38%

Read: Net profit growth of 35.38% is nearly 3.5x the Nifty 50 pace. Critically, gross profit growing at 20.65% versus revenue at 10.66% shows operating leverage and margin expansion working simultaneously. Mid caps are not just scaling — they are becoming more efficient as they scale. This is the clearest signal in the data.

Small Cap — Robust and Broad-Based

METRIC	Q4 FY26	Q4 FY25	YOY GROWTH
Revenue	₹ 4,76,989 Cr	₹ 4,17,321 Cr	+14.30%
Gross Profit	₹ 74,951 Cr	₹ 64,487 Cr	+16.23%
Net Profit	₹ 39,966 Cr	₹ 33,948 Cr	+17.73%

Read: Small caps led on revenue (+14.30%, highest across all segments) and delivered healthy 17.73% net profit growth. Margin expansion is visible. This is genuine earnings power at the grassroots of corporate India — not the bifurcated picture seen in the previous batch.

03 — ScorecardSegment comparison

CATEGORY	REVENUE YOY	GROSS PROFIT YOY	NET PROFIT YOY	VERDICT
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All India Inc.	+10.68%	+10.68%	+20.20%	✓ Strong
Nifty 50	+8.97%	+4.25%	+10.33%	~ Moderate
Large Cap	+9.33%	+5.64%	+14.42%	✓ Good
Mid Cap	+10.66%	+20.65%	+35.38%	★ Excellent
Small Cap	+14.30%	+16.23%	+17.73%	✓ Strong

04 – Sectors *The winners & the laggards*

Top Performing Sectors

SECTOR	MKT CAP (₹ CR)	REVENUE YOY	GROSS PROFIT YOY	NET PROFIT YOY
Retailing	5,77,339	+12.58%	+40.49%	+979.25%
Paper	4,933	+10.09%	+325.90%	+774.42%
Media & Entertainment	37,438	+12.01%	+542.96%	+161.83%

- **Retailing:** Massive turnaround — operating leverage finally showing after years of restructuring in retail chains.
- **Paper:** Spectacular recovery on lower input costs and improved pricing discipline.
- **Media & Entertainment:** OTT, digital advertising, and content monetisation driving structural profitability.

Underperforming Sectors

SECTOR	MKT CAP (₹ CR)	REVENUE YOY	GROSS PROFIT YOY	NET PROFIT YOY
Trading	4,07,709	+23.49%	−19.19%	−87.58%
Consumer Durables	2,42,258	+9.23%	−7.57%	−79.61%

Industrial Gases & Fuels

78,519

+9.19%

−24.10%

−27.49%

- **Trading:** Revenue rising while margins collapse — classic commodity-margin squeeze.
- **Consumer Durables:** Decent topline; profits cratered. Competition, input costs and pricing pressure converging.
- **Industrial Gases & Fuels:** Energy cost pressures squeezing margins despite volume growth.

05 — Names *Notable individual results*

COMPANY	REVENUE GROWTH	NET PROFIT GROWTH	READ
Tata Steel	+12%	+151%	Strong metals recovery
SAIL	+5%	+43%	PSU steel doing well
NHPC	+19%	+68%	Strong hydro power growth
Hindustan Copper	+58%	+134%	Copper boom continues
Solar Industries	+40%	+59%	Defence/explosives demand surge
Godrej Industries	+33%	+86%	Conglomerate recovery
HAL	+7%	+36%	Beats estimates by 35.76%
Muthoot Finance	+14%	+19%	Gold loan demand robust; beats by 19.28%
United Spirits	—	Beats by +32.24%	Premiumisation driving profitability
JSW Steel	Beat revenue	Missed by	Weak quarter on profitability

		–62.7%	
Voltas	Slight miss	Missed by –52.8%	Consumer durables pressure
Power Grid	–4%	+8%	Revenue dipped, profits stable

06 — Market Impact **What this means for investors**

SHORT TERM · 1–4 WEEKS

Markets likely to react positively, especially in mid and small cap indices. Sector-specific underperformance (Consumer Durables, Trading) and large misses (JSW Steel, Voltas) may drag select large-cap heavyweights. Expect **selective buying** with mid- and small-cap outperformance continuing. Stock-specific moves will dominate, not broad index rallies.

MEDIUM TERM · 1–6 MONTHS

With 3,712 companies still to report, if the quality of results holds — particularly the mid-cap margin story — valuations could re-rate upward for the Nifty Midcap 100 and Smallcap indices. The gap between Nifty 50 NP growth (10.33%) and broader market (20.20%) shows the wider market is in **better health than index trackers imply**. Defence, Metals, Power and Media likely to attract institutional flows.

LONG TERM · 6–24 MONTHS

The structural read is encouraging. Mid caps posting 35%+ profit growth with gross margin expansion signals a fundamental shift in corporate India's earning power. The next phase of India's growth story will likely be driven by **next-generation mid-tier champions** in manufacturing, defence, specialty chemicals, logistics and consumer discretionary.

07 — Verdict **Are these results encouraging?**

✓ YES — Very Encouraging Overall (Scorecard: 7.5 / 10)

•20%+ aggregate net profit growth — well above expectations.

- Mid caps delivering 35.38% net profit growth with genuine margin expansion.
- Small caps' 14.30% revenue growth is the highest across all segments.
- 745 vs 519 split — broad-based recovery, not concentrated in a few names.
- Strong turnarounds across Retailing, Media, Metals, Defence and Power.
- Multiple estimate beats: HAL (+35.7%), Muthoot (+19.3%), United Spirits (+32.2%).

Areas of Caution

- Consumer Durables –79.61% profit decline is alarming — demand fatigue or margin destruction.
- Trading sector –87.58% profit fall despite +23% revenue shows severe commodity margin squeeze.
- Nifty 50 gross profit growth of only +4.25% suggests India's largest face genuine cost headwinds.
- JSW Steel and Voltas missing estimates by wide margins are notable disappointments.
- Power Grid revenue declining –4% needs monitoring across the PSU energy sector.

In Conclusion

A solid, above-expectation earnings season. Mid- and small-cap segments are firing on all cylinders, offsetting patchy large-cap performance. India's broader corporate ecosystem is growing faster than headline index numbers suggest — making this a fundamentally positive quarter for long-term investors. With 75% of companies still to report, the trend bears close watching, but early signals are firmly bullish.

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Data source: Moneycontrol.com · Q4 FY 2025-26 earnings season · As of May 16, 2026

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